

ILLUSTRATION BY **RAJ VERMA**

there are multiple evidence-based examples that complement this global trend.

For instance, one of the leading Indian public sector banks is expected to build new AI models that can help generate actionable insights for accurate business forecasting, facilitate hyper-personalised offers for customers and enable data-led insights for fraud detection, prevention and mitigation. Also, the Department of Telecom (DoT) is expected to introduce an AI-powered platform to prevent frauds using disconnected mobile numbers by real-time flagging to both banks and the Unique Identification Authority of India (UIDAI).

About 68% of KPMG's survey respondents said compliance and risk is the second priority area for

Gen AI in their companies. It can be used to automate labour-intensive compliance tasks, such as SEC filings, bringing a higher degree of accuracy. In risk management, Gen AI could be used to better simulate different risk scenarios and stress test investment strategies and portfolios because of its ability to trawl humongous unstructured data sets. Contextualising for the Indian banking sector, the RBI recently announced its use of AI to gain deeper insights into the operations of supervised entities. The tools that RBI uses encompass early warning system, stress testing models, vulnerability assessments, cyber key risk indicators, phishing, and cyber reconnaissance exercises, targeted evaluations of compliance with know your customer (KYC) and anti-money laundering (AML)

norms, and data analytics.

Customer servicing and marketing/sales is tagged as the third most popular Gen AI use case in the banking sector. Financial services companies have already adopted AI to improve customer-facing processes, such as help desks and robo-advisor services. About 66% of financial services executives surveyed say their organisations are likely to use Gen AI to enable more sophisticated chatbots and virtual assistants, and 62% predict it will be used for customer services and personalisation. In fact, a majority of the top Indian private sector banks are in advanced stages of adopting private large language models (LLMs), trained on internal data sets, to leverage Gen AI, in order